BRIDGFUNDER LONDON

The SME Funding Handbook

Every funding type compared in plain English — what it costs, when it fits, and the one question every lender asks first.

2026 Edition · Free

SECTION 1

The full menu

Four ways to put money into a business. Each fits a different job — the skill is matching the tool to the need, not taking the only product a bank has on its shelf.

Working capital

Cash for the next six months: a big order, materials, a slow month. Secured or unsecured, from around £10,000, funds in days. The first route for most owners.

Asset finance

Vans, trucks, plant, machinery. The asset is the security — the house stays out of it. Cost spread over 1-7 years; used when the kit earns more than it costs a month.

Invoice finance

Unpaid invoices released within 24 hours instead of waiting 60-90 days. One of the oldest and cheapest growth tools when used properly.

Commercial mortgages

Buy the premises instead of renting. Up to 75% of value, terms 3-25 years. Often costs about what the lease did — and ends up yours.

Rule of thumb: speed costs more per month; cheap money takes longer.

Pick the product by the job. Matching those two is most of the game.

SECTION 2

What things cost — in plain numbers

Every figure below is a typical range, not a quote. Your numbers depend on the business, the security and the deal. But these are honest ballparks, not teaser rates.

Working capital

Term: Days to weeks

Cost priced on strength + security; expect a clear total-cost figure in pounds before you sign

Asset finance

Term: 1-7 years

The asset secures itself; you see the monthly payment and the total up front

Invoice finance

Term: 24-hour release

A small discount on the invoice — often cheaper than the overdraft it replaces

Commercial mortgage

Term: 3-25 years

Up to 75% of value; monthly cost often close to (or below) rent for the same building

Bridging (short-term)

Term: 1-18 months

Priced monthly; the trade-off is speed — arranged in days, repaid by sale or refinance

SECTION 4

The three declines (and the fix)

1. The vague purpose

"Some working capital" gets declined; "£45k materials deposit against the June council contract" gets funded. Name the job the money does.

2. The wrong product

Asking the bank for a 10-year loan to cover a 60-day gap — or bridging a problem that needs 5 years. The right product exists for both; mixing them up is the classic decline.

3. Surprise costs at the end

Arrangement fees, exit fees, early-settlement terms. Ask for the total cost in pounds over the term. If someone won't put it in writing, walk.

One-page rule: before applying, you should be able to show
the purpose, the repayment source, the security, the total cost — on one page.

THE CHECKLIST

Before you apply

- Purpose in one sentence — what the money does.
- Amount + term: how much, over how long, repaid how.
- Security: equipment, invoices, premises — without touching the family home where possible.
- Speed vs cost: do you need funds in days, or the cheapest money over years?
- Total cost in pounds, including every fee, over the full term.
- Early exit: can you settle without a penalty that eats the benefit?
- Your paperwork: 12 months of business bank statements, latest accounts, one-page plan.

Tick all seven and you are ahead of most applicants —
and most decline letters were written by boxes that were never ticked.

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Free from BridgFunder Lond

ABOUT US

Creative capital for owners

BridgFunder London is a credit broker with whole-of-market access to 300+ specialist lenders — the names that never advertise on the high street. We compare the whole panel, put the numbers side by side in plain English, and if your current terms are already sharp, we say so and leave you to it.

Talk to a specialist — same-day read

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